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Report Name: Oilseeds and Products Update

Country: Turkey

Post: Ankara

Report Category: Oilseeds and Products

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Report Highlights:

With favorable weather conditions and an expansion in the area harvested, Turkey's sunflowerseed production is forecast to hit a record of 1.9 million metric tons (MMT) in marketing year (MY) 2022/23. Production of sunflower meal and oil are likewise projected at record highs. In parallel with the projected increase in production, the MY 2022/23 sunflowerseed import forecast is lowered to 1.0 MMT. Notwithstanding this revision, the revised import forecast is about 30 percent higher than the previous year, assuming the Ukrainian grain corridor remains open and fully operational. Meantime, with the disruption of sunflowerseed imports from Ukraine earlier this calendar year, Turkey started importing more sunflower oil from Russia. For September-July of MY 2021/22, imports of sunflower oil were up about 50 percent from the same time the previous year.

Production – Sunflowerseed:

The MY 2022/23 sunflowerseed production forecast remains unchanged from the USDA official figure at a record of 1.9 MMT. This projected amount is made up of 1.68 MMT of sunflowerseed for crushing, 150,000 MT of confection seeds, and 70,000 MT of seeds for planting. The area harvested forecast for this period remains unchanged at 790,000 hectares (ha), of which 700,000 ha are seeds for crushing, 60,000 ha of confection seeds, and 30,000 ha of planting seeds.

The MY 2022/23 production forecast is up year-over-year due to favorable weather conditions and an increase in the area harvested. Rainfall levels in the main sunflower growing regions, including Thrace, Marmara and Central Anatolia regions, were above average and better than the previous year. The better-than-average precipitation is expected to contribute to higher yields in MY 2022/23, which is projected to more than offset minor caterpillar damage on some farms in the Thrace region. The MY 2022/23 sunflower harvest started in the Thrace region at the beginning of September.

Consumption – Sunflowerseed:

The forecast for MY 2022/23 sunflowerseed consumption remains unchanged from the USDA official projection at about 2.8 MMT. The forecasted amount is up year-over-year based on the anticipated increase in domestic sunflowerseed production and stabilized demand from the feed sector.

The sunflowerseed consumption estimate for MY 2021/22 remains unchanged from the USDA official number at about 2.3 MMT. MY 2021/22 consumption volumes are down 285,000 MT from the previous year because imports from Ukraine – Turkey’s primary supplier of sunflowerseed – were disrupted by the war.

Trade – Sunflowerseed:

The MY 2022/23 sunflowerseed import forecast is revised downward from the USDA official projection to 1.0 MMT, which is closer to the average import levels prior to the war. The new MY 2022/23 projection is up year-over-year, based on the assumption that the Ukrainian grain corridor will remain open and fully operational.

The MY 2021/22 import estimate remains unchanged at 690,000 MT, but is down year-over-year because of weaker than expected imports, especially from Ukraine. Shipments from Ukraine have been disrupted because of the war. With limited volumes of Ukrainian sunflowerseed, Turkey has compensated by importing more crude sunflower oil from Russia.

Imports during the first eleven months of MY 2021/22 (September-July) totaled 558,000 MT. Of this amount, 565,000 MT were for crushing and the remaining 21,000 MT were confection seeds. The leading suppliers of sunflowerseeds for crushing were Ukraine (306,000 MT), Moldova (130,000 MT), and Romania (82,000 MT). China was the top supplier of confectionary sunflowerseeds, supplying about 20,000 MT.

Oilseed, Sunflowerseed Market Year Begins Turkey	2020/2021		2021/2022		2022/2023	
	Sep 2020		Sep 2021		Sep 2022	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	730	730	760	760	790	790
Area Harvested (1000 HA)	720	720	760	760	790	790
Beginning Stocks (1000 MT)	345	345	102	102	115	115
Production (1000 MT)	1560	1560	1750	1750	1900	1900
MY Imports (1000 MT)	907	907	690	690	1250	1000
Total Supply (1000 MT)	2812	2812	2542	2542	3265	3015
MY Exports (1000 MT)	123	123	125	125	125	125
Crush (1000 MT)	2400	2400	2125	2125	2800	2600
Food Use Dom. Cons. (1000 MT)	185	185	175	175	220	185
Feed Waste Dom. Cons. (1000 MT)	2	2	2	2	2	2
Total Dom. Cons. (1000 MT)	2587	2587	2302	2302	3022	2787
Ending Stocks (1000 MT)	102	102	115	115	118	103
Total Distribution (1000 MT)	2812	2812	2542	2542	3265	3015
CY Imports (1000 MT)	975	0	700	0	1000	0
Yield (MT/HA)	2.1667	2.1667	2.3026	2.3026	2.4051	2.4051
(1000 HA),(1000 MT) ,(MT/HA)						

Production – Sunflowerseed Meal:

The MY 2022/23 sunflowerseed meal production forecast is revised downward from the USDA official number to about 1.4 MMT. However, the projected amount is still higher than the previous year, based on the projected increase in domestic sunflowerseed production and larger import volumes of sunflowerseed for crushing. The MY2021/22 estimate for sunflowerseed meal production remains unchanged at about 1.2 MMT.

Consumption – Sunflowerseed Meal:

The MY 2022/23 sunflowerseed meal consumption forecast is lowered from the USDA official figure to 2.2 MMT, mainly due to a projected decline in both the production and imports of sunflowerseed meal. Notwithstanding this downward revision, the MY 2022/23 consumption forecast is up year-over-year by 150,000 MT.

The MY 2021/22 consumption estimate remains unchanged at 2.05 MMT, though down year-on-year because of a decline in imports of Ukrainian sunflowerseed and a slowdown in demand from the domestic feed industry. Compound feed production is softening since livestock producers are struggling with high input costs and, as a result, are sending their animals to slaughter earlier than normal. For more details on the livestock situation, please refer to our [annual livestock and products report](#).

Trade – Sunflowerseed Meal:

The MY 2022/23 forecast for sunflower meal imports is trimmed back slightly from the official USDA figure to 900,000 MT. However, imports are still higher than the previous year based on the expectation that shipments from Ukraine will continue uninterrupted through the corridor and prices will remain competitive.

The MY 2021/22 sunflower meal import estimate is left unchanged at 825,000 MT. From September through July of MY 2021/22, imports totaled almost 744,000 MT. Russia (417,000 MT) and Ukraine (255,000 MT) were the leading suppliers. Sunflowerseed meal imports are used to meet the local livestock and poultry industries' feed needs.

Meal, Sunflowerseed Market Year Begins Turkey	2020/2021		2021/2022		2022/2023	
	Sep 2020		Sep 2021		Sep 2022	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	2400	2400	2125	2125	2800	2600
Extr. Rate, 999.9999 (PERCENT)	0.5442	0.5442	0.544	0.544	0.5443	0.5442
Beginning Stocks (1000 MT)	572	572	223	223	114	114
Production (1000 MT)	1306	1306	1156	1156	1524	1415
MY Imports (1000 MT)	813	813	825	825	950	900
Total Supply (1000 MT)	2691	2691	2204	2204	2588	2429
MY Exports (1000 MT)	18	18	40	40	40	40
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	2450	2450	2050	2050	2350	2200
Total Dom. Cons. (1000 MT)	2450	2450	2050	2050	2350	2200
Ending Stocks (1000 MT)	223	223	114	114	198	189
Total Distribution (1000 MT)	2691	2691	2204	2204	2588	2429
(1000 MT),(PERCENT)						

Production – Sunflowerseed Oil

The MY 2022/23 production forecast for sunflowerseed oil is revised slightly downward from the USDA official number to about 1.1 MMT. The revised production figure is up year-over-year by 20 percent due to steady domestic and export demand, along with a parallel increase in local sunflowerseed production. Turkey's annual crushing capacity for sunflowerseed and other oilseeds is quite large at about 9 MMT.

Consumption – Sunflowerseed Oil

The MY 2022/23 sunflower oil consumption forecast is left unchanged at 1.28 MMT, assuming steady consumer demand amid high sunflower oil prices. Despite government efforts to stabilize vegetable oil prices, the price of sunflower oil has doubled in 2022. Higher prices are mainly due to the rising cost of imported sunflowerseeds and the depreciation of the Turkish Lira.

Sunflowerseed oil is the most widely consumed cooking oil in Turkey because of its affordability and availability. Meantime, because production using local sunflowerseeds only meets about two-thirds of domestic requirements, Turkey imports sizeable volumes of sunflowerseed oil.

Trade – Sunflowerseed Oil

Imports

The MY 2022/23 forecast for sunflowerseed oil imports is adjusted upward from the USDA official number to 1.0 MMT. The new import projection is lower than the previous year since import demand is expected to slacken with an increase in domestic production.

The MY 2021/22 estimate for sunflowerseed oil remains unchanged at a record of nearly 1.3 MMT, most of which is crude oil. With the interruption in sunflowerseed imports from Ukraine, Turkey increased its duty-free imports of crude sunflower oil from Russia. In the past, nearly all of the imported crude sunflower oil was processed and re-exported. However, skyrocketing cooking oil prices and worries about potential shortages this year in Turkey, caused a shift to where approximately one-third of the imported crude oil was refined and used domestically.

From September through July of MY 2021/22, sunflower oil imports were about 1.2 MMT, up about 50 percent from the same time the previous year. Russia (940,000 MT) and Ukraine (196,000 MT) were the leading sunflowerseed oil suppliers. Import volumes of Russian sunflowerseed oil have increased in recent years as Russia increasingly prefers to ship value-added oil instead of seeds for crushing.

Earlier this year, in an attempt to reduce domestic food inflation, the government zeroed-out import tariffs on certain agricultural products, such as sunflowerseeds, meals, and oil. In mid-September 2022, with the start of the domestic sunflower harvest, the government raised the tariff on imported sunflower oil back to 10 percent from September through December. The import duties on sunflowerseeds and sunflower meal remains at zero until December 31, 2022.

Exports

The MY 2022/23 sunflowerseed oil export forecast is adjusted higher than the USDA official number to 900,000 MT. This revision assumes that Turkey will continue to refine imported crude oil for re-export under its inward processing regime (IPR). IPR imports are not subject to tariffs or export restrictions. At

the same time, MY 2022/23 exports are projected higher than the previous year based on the expectation that foreign demand will remain strong.

The export estimate for MY 2021/22 remains unchanged at 850,000 MT and higher than the previous year due to strong demand. This amount is made up of 550,000 MT of refined oil and 300,000 MT as transshipped crude. Turkey exported 771,600 MT of sunflower oil between September and July of MY 2021/22, up 19 percent during the same period the previous year. Iraq (200,000 MT) and Djibouti (130,000 MT) were the main export destinations.

Since March of this year, the government has prohibited the export of domestic sunflowerseed oil to ensure local supplies and alleviate upward pressure on vegetable oil prices. According to [exporter unions](#), there are certain exemptions from the export ban. Imports of crude oil for processing and re-export under the inward processing regime (IPR) are exempt. In addition, humanitarian shipments as well as shipments to the Turkish Republic of Northern Cyprus (TRNC), Syria, and Palestine are exempt. For up-to-date details on Turkey's export ban on select agricultural products, please see our latest [report](#).

Oil, Sunflowerseed Market Year Begins	2020/2021		2021/2022		2022/2023	
	Sep 2020		Sep 2021		Sep 2022	
Turkey	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	2400	2400	2125	2125	2800	2600
Extr. Rate, 999.9999 (PERCENT)	0.435	0.435	0.4344	0.4344	0.4354	0.4346
Beginning Stocks (1000 MT)	187	187	140	140	233	233
Production (1000 MT)	1044	1044	923	923	1219	1130
MY Imports (1000 MT)	778	778	1275	1275	800	1000
Total Supply (1000 MT)	2009	2009	2338	2338	2252	2363
MY Exports (1000 MT)	639	639	850	850	750	900
Industrial Dom. Cons. (1000 MT)	20	20	20	20	20	20
Food Use Dom. Cons. (1000 MT)	1200	1200	1225	1225	1250	1250
Feed Waste Dom. Cons. (1000 MT)	10	10	10	10	10	10
Total Dom. Cons. (1000 MT)	1230	1230	1255	1255	1280	1280
Ending Stocks (1000 MT)	140	140	233	233	222	183
Total Distribution (1000 MT)	2009	2009	2338	2338	2252	2363
(1000 MT),(PERCENT)						

Production – Olive Oil:

With MY 2022/23 considered an “on-year” for production, the olive oil forecast for this period is adjusted higher to 260,000 MT. In the coming years, an increase in the numbers of fruit bearing trees and better farming practices is expected to lead to higher production levels.

The production estimate for MY 2021/22 production for olive oil is revised slightly lower to 225,000 MT to reflect the effects of last year’s drought more accurately.

Consumption – Olive Oil:

The MY 2022/23 consumption forecast is revised higher to 205,000 MT, assuming better production. Consumers consider olive oil to be superior to other all other cooking oils and prices are about 3-4 times higher than the price of sunflower oil, which is the most widely-consumed vegetable oil in Turkey. As a result of this price difference, olive oil is often adulterated with other, cheaper, vegetable oils and sold as “olive oil” at a more affordable price in the local market.

Trade – Olive Oil:

The MY2022/23 export forecast for olive oil is raised from the official USDA estimate to 75,000 MT, assuming increased production and strong foreign market demand. Year-to-year export volumes remain unchanged.

In July of this year, the Ministry of Agriculture and Forestry lifted its ban on olive oil exports in packages larger than 5 liters. The ban had been imposed in February 2022 to stabilize local supplies and reduce food inflation.

Oil, Olive Market Year Begins Turkey	2020/2021		2021/2022		2022/2023	
	Nov 2020		Nov 2021		Nov 2022	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	0	0	0	0	0	0
Area Harvested (1000 HA)	0	0	0	0	0	0
Trees (1000 TREES)	154500	159500	154500	157800	154500	159000
Beginning Stocks (1000 MT)	43	43	40	40	26	25
Production (1000 MT)	210	210	236	225	180	260
MY Imports (1000 MT)	37	37	25	25	25	25
Total Supply (1000 MT)	290	290	301	290	231	310
MY Exports (1000 MT)	60	60	75	75	55	75
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	190	190	200	190	160	205
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	190	190	200	190	160	205
Ending Stocks (1000 MT)	40	40	26	25	16	30
Total Distribution (1000 MT)	290	290	301	290	231	310
(1000 HA),(1000 TREES) ,(1000 MT)						

Attachments:

No Attachments